Question 1

You are an internal audit assistant working in the internal audit department of Easytalk Phones Ltd (Easytalk). You joined Easytalk 18 months ago when the company's internal audit department wasfirst established.

Easytalk is an established business within the mobile telephone industry. The company purchases generic accessories for mobile phones, such as slipcases and protective plastic cases, and applies various painted designs to these. The company uses a number of suppliers for its products, includinga single supplier for its plastic phone cases.

As part of the internal audit plan for 20X1/X2, you are conducting a review of the operating

effectiveness of the company's purchasing system. Your internal audit manager has provided you with notes of the existing system (Appendix 1) and has asked you to analyse the weaknesses in the purchasing system, explaining the implications and recommending control improvements.

Question:

Identify the weaknesses in the purchasing system as described in the system notes, evaluate the implications of each weaknessand recommend improvements.

(35 marks)

APPENDIX 1 – System notes of Easytalk's purchases system provided by internal auditmanager

Orders

Purchase requisitions (PR) for the warehouse are raised on sequentially numbered forms by the warehouse team and authorised by the warehouse manager. For purchases by other departments,the PR is raised by the individual and approved by the department head.

Each PR is sent to the accounts manager. The accounts manager receives the PR and selects a supplier from a pre-approved list. If there is no suitable supplier, the accounts manager will instigate the process for adding a new supplier to the list. This separate process was reviewed by the internal audit function recently and was deemed to be effective. While this process is being undertaken, the accounts manager contacts the requisitioner to provide a preferred supplier to order from until the formal process is completed. Sequentially numbered purchase orders (PO) are raised by the accounts manager and electronically authorised by a director of Easytalk in accordance with companypolicy. One copy is sent to the supplier, one is sent to the warehouse in a 'pending orders' file and a third copy is retained by the accounts manager.

Receipt of goods – Warehouse

The goods arrive in the warehouse where they are physically inspected for quality and are signed for by whichever member of the warehouse staff is available. A pre-printed, sequentially numbered goods received note (GRN) is completed by the individual receiving the goods and is matched to the PO

from the pending orders file. A copy of the GRN and the matched PO are retained in the warehouse in a closed orders file. Another copy of the GRN is sent to the accounts manager.

The warehouse manager completes a weekly review of the pending orders file to follow up on orders that have not been filled.

Receipt of goods – Other departments

The majority of purchases for other departments are delivered to Easytalk's reception, where they are signed for by a member of staff. The signed delivery note is sent to the accounts manager who raised the PO for matching with the PO and authorisation.

For larger deliveries, warehouse staff are sent a copy of the PO by the accounts manager who ordered the goods and this is kept in the pending orders file. The warehouse staff follow the sameprocess for checking and accepting goods as for their own orders.

Receipt of invoices

The GRN (or delivery notes for other purchases) is received in the accounts department and matched to the accounts department copy of the PO. If any documentation is incomplete, it is finalised using the same details as on the other documents, and if any director's signatures are missing, the accounts manager signs instead to provide an audit trail.

The documentation is entered into the accounting system once a week, which updates the inventory system and creates the entries in the inventory account and in the goods received not invoiced (GRNI) account.

When an invoice is received from the supplier, the accounts manager matches it to the GRN and PO. The invoice is entered into the accounting system, updating the GRNI account and the purchase ledger control account in the general ledger, and the supplier account within the purchase ledger. The accounts staff perform monthly reviews of the GRNI account to confirm the accuracy of invoices posted. They also perform a monthly reconciliation of the purchase ledger control account and purchase ledger.

Other invoices, such as for rates, water etc, are received by the accounts manager directly andentered straight into the accounts system after having been signed off by a director. Where no director is available, the accounts manager signs off the invoice as noted above.

Payment of invoices

All payments are made by bank transfer. A payment batch is run on the last business day of each month by the accounts manager to include all invoices remaining unpaid that are due for payment. The batch run is then reviewed and any invoices the company does not wish to pay are excluded. Once these have been removed, the payment run is reviewed by the finance director and signed to indicate review. The accounts manager then runs the bank transfer, which is authorised by the finance director.

Bank reconciliations and purchase ledger control account reconciliations are completed weekly by the accounts manager and reviewed by the finance director. Where supplier statements are received, these are checked to the purchase ledger to detect invoices not received and staff follow these up by phone. No formal supplier statement reconciliations are performed.

Question 2

It is June 20X1 and you are the audit senior on the first-year audit of a large firm of house builders,Bob & Rob Builders Limited (Bob & Rob) for the year ending 31 July 20X1. The company operatesfrom multiple construction sites across Scotland.

It is currently the systems and controls analysis stage of the audit and you are designing proceduresto test the operating effectiveness of controls over payroll. You have been tasked by the audit manager to identify the key controls that the audit team could place reliance on, evaluate why they are key controls and design procedures to test their operating effectiveness.

You met with the payroll processing manager, Sandy Mills, to obtain an understanding of the payroll processing function and its underlying controls (Appendix 1). Sandy noted the human resources (HR) function of Bob & Rob is carried out within the HR module in the firm's enterprise resource planning (ERP) system and has a number of inbuilt automated controls. The controls around the HR function are being assessed by a member of your IT audit department and do not need to be considered as part of your work.

Questions:

1. Identify the key controls within the payroll system which are designed effectively to prevent,detect or correct misstatements in the payroll balance.

(10 marks)

2. Evaluate why each control would be classified as a key control for the purpose of the external audit.

(20 marks)

3. Design test of controls to confirm the operating effectiveness of each identified key control.

(20 marks)

(50 marks)

APPENDIX 1 – Bob & Rob payroll process notes documented from meeting with Sandy Mills, payroll processing manager

All employees

All new starters complete a training pack as part of their induction process. This pack contains information around accurate time recording, including a specific section with guidance on ethical policies around accurate completion of timesheets and clocking in and out.

Salaried employees

There are currently 30 salaried employees, including site managers, architects and executive staff. Payroll for salaried employees is outsourced to a well-known payroll management firm. Salaried employees receive performance-based annual bonuses and are entitled to participate in the company's benefits and rewards programme. The programme is operated by the payroll management firm and due to the small number of employees involved, management determined it was more cost effective to outsource this element of the company's payroll.

The payroll management firm provides a monthly summary payroll report for all salaried employees, which is reviewed for reasonableness and approved by the company's finance director and HR manager before being entered in the company's financial ledger. Once approved, a bank transfer is made to the payroll management firm for the overall payroll total. The firm then makes relevant disbursements to employees, HMRC and any third parties due payments as part of the benefits and rewards programme.

The monthly payments do not fluctuate much with the exception of March each year, when there is a performance bonus for permanent employees. The annual bonus per employee is based on the judgement of the finance director.

Salaried employees are required to complete timesheets in order for costs to be allocated to relevant construction jobs. However, these do not impact any payroll calculations.

Employees' paid hourly rates

The company currently employs 150 employees, paid by the hour, including construction workers, electricians, plumbers and general labourers. The processing of the payroll for this group is carried out by Sandy and his team, with employees paid fortnightly.

Recording time

Staff clock in and out of the building site and the timekeeping system records their time worked. The system is integrated with the payroll system. The timekeeping system identifies the unique site number where the employee clocks in and this allows direct charge of the time and cost of the hourly wages to the respective project in the ERP system. To comply with legal requirements, construction sites are only allowed to operate between 08:00 and 18:00, and the time system does not work outwith these hours.

The timekeeping system requires all timesheets for hourly paid staff to be approved prior to being transmitted to the payroll system by the site supervisor. Timesheets showing hours worked in excess of the standard 8 hours contracted (overtime) automatically flow to the site manager's workflow in the ERP system for review and approval/rejection. Any overtime hours require an electronic signature within the system as approval by the site manager.

Calculating payroll

The hourly wage payroll is automatically calculated by the payroll system based on the hours transmitted from the timekeeping system and the hourly wage in the master data. The draft payroll is generated by the payroll manager and a summary printed for review by the human resources manager and finance manager, who co-approve/sign-off the final payroll run.

Each construction site has a detailed cost budget prepared by the company's projects accounting team and approved by the site manager, the operations director and the finance director. This budget sets out the relevant costs for all hourly paid employees. Actual costs are monitored against the budget for each construction site on a monthly basis by the finance director and the site manager.

Detailed variance analysis is undertaken, with any unusual movements investigated and supporting explanations documented.

Once the final payroll is approved and run, the system generates automatic journals to the net pay control account, deductions control account and relevant work-in-progress cost centres for each site. The payroll costs as shown on the monthly project cost report are reconciled to the payroll summary by the financial analyst. The financial analyst also compiles a reconciliation of the balance sheet payroll related accruals to ensure they agree to the payroll summary from the payroll system showing deductions for PAYE, pensions etc. Any unusual differences are investigated. The reconciliations performed by the financial analyst are approved and signed off as evidence of such review by the finance manager.

Disbursing payroll

The approved net pay files are sent to the bank via an encrypted file for disbursement to employees.

Internal audit inspections

Bob & Rob has an internal audit function which carries out a planned programme of annual inspections. 3 years ago, internal audit conducted a physical verification exercise to confirm actual employee numbers were in line with system records. In May 20X1, internal audit carried out a health and safety compliance at each of the construction sites to ensure that all employees had been issued with relevant safety equipment.